DEFINITIONS

In addition to other capitalized terms defined in this Policy, the following capitalized terms shall have the meanings indicated:

Attained Age
Attained age means the Insured's age on the last Policy Anniversary. An Insured's age under the Policy will be increased by one year on each Policy Anniversary thereafter.

Authorized Request
A request sent by the Owner to us. An Authorized Request must be in a form satisfactory to us and must be received at our Administrative Office. We may consent to receiving requests electronically or by telephone.

Beneficiary, Beneficiaries
The person(s) (or entities) who will receive the proceeds from the Death Benefit due to the Insured's death.

Company
Banner Life Insurance Company. Also referred to as "we", "our" and "us".

Death Benefit
Upon receipt of due proof of the Insured's death, we will pay the applicable Death Benefit as described in the Policy Schedule to the designated Beneficiary.

Grace Period
There is a Grace Period of 31 days to pay a premium after the Premium Due Date.

Home Office and Administrative Office
Our Home Office and Administrative Office is located at 3275 Bennett Creek Avenue, Frederick, MD 21704.

Indebtedness
The amount of your loan(s) plus accrued interest on the loan(s).

Insured
The person whose life is Insured, as named in the Policy Schedule page.

Irrevocable Beneficiary
A Beneficiary who has certain rights that cannot be changed unless he or she consents to the change.

Issue Date
The Issue Date is the date we complete the processing of an approved application and issue this life insurance Policy. The Issue Date is shown on the Policy Schedule.

Issue Age
Insured's age as of the last birthday on the Issue Date.

Legal Partner
The person with whom you have entered into a legally-sanctioned domestic partnership or civil union that grants you the same rights, responsibilities, and obligations as opposite-sex married couples in accordance with applicable state laws.

Maturity Date
The Maturity Date is shown in the Policy Schedule. This is the date the Insured reaches Attained Age 121.

Payment Mode
The premium payment frequency elected by you. The availability of modes shall be determined by the Company and may be changed at the Company's discretion. Modes that may be available for election include every month, every three months (quarterly), every six months (semi-annually) or every 12 months (annually).

Premium Due Date
The specific date on which the premium payment is required to be received by the Company in order to keep the Policy in effect. The Premium Due Date is established in accordance with the Premium Due Day elected at the time of issuance and is set forth in the Payment Details section of the Policy Schedule Page.

Net Cash Value
Your cash value less any Indebtedness.

Owner
The person(s) (or entity) who owns this Policy. The Owner is shown on the application, unless later changed as allowed by this Policy. If no Owner is named, then the Insured is the Owner. The Owner is also referred to as “you”, “your” or “yours”.

Issue Date, Month, Year, and Anniversary
The Issue Date is stated in the Policy Schedule. Each Policy Month begins on the same day of each month as the Issue Date. The first day of each Policy Month is a Monthly Anniversary. Each Policy Year begins on the same day and month as the Issue Date. A Policy Anniversary occurs on the first day of each Policy Year after the first Policy Year.

Proof of Death
Proof of Death satisfactory to us. Such proof will consist of a certified copy of the death certificate of the Insured, or other lawful evidence providing equivalent information and proof of the claimant’s interest in the proceeds.

Riders and Benefits
Riders and benefits are attachments to the Policy which provide additional coverage and benefits.

Written Notice/Recording Thereof
Written Notice means a notification or request received from the Owner in a form approved by us. Written Notices are recorded at our Administrative Office. We will not be responsible for the validity of any Written Notice.

PAYMENT OF PREMIUMS AND NON-FORFEITURE OPTIONS

Payment of Premiums
The first premium must be paid during the Insured’s lifetime before any insurance becomes effective. The due date of the first premium is the Issue Date. Each subsequent premium is due on the Payment Due Date(s) shown on the Policy Schedule Page. Premiums after the first premium are payable at our Administrative Office or at any designated premium receipt facility. A premium receipt will be furnished upon request.

In no event may premiums be paid beyond the Maturity Date.

Grace Period
During the 31-day Grace Period, the Policy will remain active. We will send notification of the Grace Period and the minimum premium due to the Owner’s last known address and to any assignee of record at least 30 days prior to the date the Policy is to terminate. If the Insured dies during the Grace Period, premium sufficient to provide coverage to the end of the month in which the date of death of the Insured occurred will be deducted from the Death Benefit Proceeds. If sufficient premium is not paid, this Policy will terminate at the end of the Grace Period.

If a premium is not paid before the end of the 32-day Grace Period, one of the following will occur:

1. If your Policy has no cash value, your coverage will terminate;

2. If your Policy has cash value and the automatic premium loan option is in effect, an automatic premium loan will occur; or

3. If your Policy has cash value and the automatic premium loan option is not in effect, one of the nonforfeiture options will apply.

Nonforfeiture Options
If you terminate this Policy or stop paying premiums after your Policy has cash value, you may elect one of the nonforfeiture options described below by Authorized Request. The written consent of each Irrevocable Beneficiary and assignee, if any, is required as part of such Authorized Request.

If no Authorized Request is received from you within 60 days after the Premium Due Date, the automatic nonforfeiture option will be Option 2, Reduced Paid-Up Life Insurance. However, if the amount of Reduced Paid-Up Insurance is less than $500, we will pay you the Cash Surrender Value unless you specify otherwise in writing.

Allowance for the period of time since the last Policy Anniversary and for any premiums paid since the preceding Policy Anniversary will be included in the calculation of the value that is applied to a nonforfeiture option.

Option 1: Extended Term Insurance

Your Net Cash Value will be used to purchase extended term insurance. The amount of the term insurance will be equal to the Death Benefit shown on your Policy Data Page less any Indebtedness. The length of the term period will be determined as of the due date of the unpaid premium. It will be based on your Net Cash Value and the net single premium at the Insured's Age on that date.

Option 2: Reduced Paid-Up Life Insurance

Your cash value will be used to purchase paid-up insurance with the same Maturity Date as the Policy. The amount of the paid-up insurance will be what the cash value can buy as a net single premium, based on the Insured's Age as of the due date of the unpaid premium. Any Indebtedness that is not repaid at the time of the change to reduced paid-up insurance will be continued on the reduced paid-up Policy.

Option 3: Surrender For Cash

You may surrender your Policy for its Net Cash Value

Reinstatement
A Policy which terminates in accordance with the Grace Period provision may be reinstated within three years after the expiration of the Grace Period if:

1. the Owner submits a written application for Reinstatement during the Insured's lifetime;
2. the Policy has not been surrendered previously;
3. evidence of Insured's insurability is received and approved by us;
4. payment is made of any unpaid premium, plus interest at a rate not exceeding 6% per year, compounded annually; and
5. any Policy Loan Indebtedness in effect at the end of the Grace Period, plus interest from the date of lapse to the date of reinstatement, must be paid off.

If this Policy is reinstated, the Policy Values will be the same as if this Policy had been continuously in force from the end of the Grace Period.

The Effective Date of Reinstatement will be the date upon which we have approved the Application for Reinstatement and received the full amount of premium due at our Administrative Office. Such reinstatement requires that the Insured is living and in the state of health and insurability represented in the Application for Reinstatement and any supplements thereto.

The Issue Date will remain the original Issue Date.

GUARANTEED VALUES

Cash Value

The Table of Guaranteed Cash Value in the Policy Schedule shows the Cash Value at the end of each year. The Cash Values shown do not reflect any outstanding Policy Loan Balance, and assume all due premiums have been paid.

Cash Values for Reduced Paid-Up Insurance will be calculated as the Reduced Paid-Up Factor multiplied by the Reduced Paid-Up Insurance amount, less any outstanding loan.

The Cash Value of any Reduced Paid-Up Insurance is equal to the net single premium which would be required to provide the insurance at the Attained Age of the Insured on the date of the valuation.

Surrender

The Owner may surrender this Policy and receive the Cash Surrender Value during the Insured's lifetime. Surrender terminates this insurance. We may postpone payment for as long as six months from the effective date of surrender.

We reserve the right to require the return of the Policy.

Cash Surrender Value

The Cash Surrender Value will be equal to:

1. The Cash Value of the Policy; less
2. Any Policy Loan Indebtedness.

If surrender is requested within 30 days after a Policy Anniversary, the Cash Surrender Value will not be less than the Cash Surrender Value on such anniversary, less any Policy Loans made on or after such anniversary. The surrender will be paid in cash and shall be calculated with allowance for lapse of time and the payment of fractional premiums from the last preceding Policy Anniversary.

Basis of Computation

Cash value and net single premiums are based on the mortality and Nonforfeiture Interest Rate as shown in the Policy Schedule. Any Cash Values and Paid-Up nonforfeiture benefits available under this Policy are not less than the minimum values and benefits required by or pursuant to the NAIC Standard Nonforfeiture Law for Life Insurance, model #808. A detailed statement of the method of computation of the values and benefits has been filed.

LOANS

Policy Loan

While this Policy is in force, the Owner may obtain all or part of the available Loan Value by Written Notice. This Policy shall be the sole security needed for the loan. We may postpone making a loan for as long as six months from the date the notice is received at our Administrative Office unless it is to be used under the automatic premium loan option.

Loan Value

The Loan Value will be:

1. The Cash Surrender Value at the end of the Current Policy Year; less
2. Less any existing Indebtedness;
3. Less loan interest to the next Policy Anniversary;
4. Less any premiums due and unpaid as of the loan date;
5. Less premiums payable, if any, from the loan date to the next Policy Anniversary.

The cash value (described in item 1. above) is calculated assuming that all premium payments are made to your next Policy Anniversary.

Interest on Policy Loans
Interest on Policy Loans will be payable in advance from the date of the loan to the next Policy Anniversary at the annual interest rate of 7.4%. Interest is payable in advance at the beginning of each Policy Year. If interest is not paid when due, it will be added to the Policy Loan and bear interest at the same rate.

Policy Loan Indebtedness
The Policy Loan Indebtedness will be any outstanding Policy Loans plus unpaid loan interest.

Repayment of Policy Loans
A Policy Loan may be repaid in full, or in part at a minimum of $50.00 of 100% of the Loan balance if less than $50.00, at any time while this Policy is in force. Failure to pay back the Policy Loan will not terminate this Policy unless the Policy Loan Indebtedness equals or exceeds the Loan Value described above. If this happens, the Policy will terminate. The Policy will not lapse until at least 31 days after notice has been mailed to the last known address of the Insured or Policy Owner and any assignee of record.

Automatic Premium Loan Option
The automatic premium loan option allows a loan to be made automatically to pay each premium unpaid at the end of the Grace Period. If the loan value is not sufficient to pay the past due premium (based on your current payment mode), we will change your payment mode to a more frequent mode, if available, and a loan will be made to pay the past due premium. If the loan value is not sufficient to pay at least one monthly premium, the automatic premium loan option will not be available.

The automatic premium loan option must be elected by Authorized Request before the due date of any unpaid premium.

POLICY BENEFITS

Death Benefit

Disbursement of Policy Proceeds
Subject to the terms of this Policy, the Company will not pay the Policy Proceeds until they receive all of the following at their Home Office:

- Due Proof of Death, satisfactory to the Company, that the Insured died while the Policy was in effect;
- A written claim for the Policy Proceeds completed on a form supplied by the Company; and
- If this Policy or reinstatement is contestable as set forth in the Incontestability provision when the Insured died, an authorization, on a form supplied by the Company, from a person authorized to allow the Company to obtain and disclose information about the Insured.

The Insured and Owner understand and agree that the Company may institute legal proceedings to obtain whatever relief the Company deems necessary to collect or assist with the collection of the documents, materials, and information required to investigate the contestability of the Policy.

Amount of Policy Proceeds
If the Insured dies and the Policy is not in Reduced Paid-Up status, the Policy Proceeds will be equal to: the Death Benefit plus any part of the premium paid for coverage beyond the date of death; less any Premium due for coverage at the time of the Insured's death and less any Policy Loan Indebtedness.

If the Insured dies while the Policy is in a Reduced Paid-Up status, the Policy Proceeds will be equal to the amount of Reduced Paid-Up Insurance less any Policy Loan Indebtedness.

Death Benefit Changes

The Death Benefit cannot be increased after the Policy effective date. The Death Benefit may be decreased after the effective date by Authorized Request, subject to the following:

1. The Death Benefit, after the decrease, cannot be less than the minimum amount required to issue this Policy;

2. The cash value of the Policy will be reduced in proportion to the decrease in the Death Benefit; and

3. Any Indebtedness will be repaid at the time of the decrease, to the extent possible, using the Policy's cash value that is attributable to the decrease in the Death Benefit. Any Indebtedness that is not repaid (because such cash value is insufficient to repay the entire amount) will be continued in the Policy.

The cash value that is attributable to the decrease in the Death Benefit, minus the amount required to repay any Indebtedness, will be paid to you. We reserve the right to suspend or discontinue the option to decrease the Death Benefit at any time. Suspension or discontinuance of this right will be administered in a non-discriminatory manner.

Interest on Death Benefit
The payment of interest on the Death Benefit shall be as follows:

1. Interest shall accrue and be payable from the date of Insured's death to the date of payment or commencement of monthly payments at the rate or rates applicable to this Policy for funds left on deposit.
2. In determining the effective annual rate or rates, we will use the rate in effect on the date of death.
3. Additional interest, at a rate of 10% annually will be paid if the Policy Proceeds are not paid within 31 calendar days from the latest of:

    (a) the date that due Proof of Death is received by the Company;
    (b) the date the Company receives sufficient information to determine its liability, and the appropriate payee legally entitled to the proceeds; and
    (c) the date that legal impediments to Payment of Proceeds that depend on the action of parties other than the Company are resolved and sufficient evidence of the same is provided to the Company. Legal impediments to payment include, but are not limited to (i) the establishment of guardianships and conservatorships; (ii) the appointment and qualification of trustees, executors and administrators; and (iii) the submission of information required to satisfy state and federal reporting requirements.

Maturity Benefit
If the Insured is living on the Maturity Date, this Policy will be terminated and you will receive any remaining Cash Surrender Value. It is possible that the Policy will terminate prior to the Maturity Date if:

1. the total premiums paid are not sufficient to continue coverage to the Maturity Date as described in the Grace Period provision;
2. a Policy Loan is made.

Please Note: The Policy may not qualify as a life insurance contract under the Internal Revenue Code on the date the Insured has reached Attained Age 121 and may be subject to tax consequences. Please consult a tax advisor with regard to payout of Cash Surrender Value on the Maturity Date.

OWNERSHIP AND BENEFICARY

Owner
The Owner of this Policy is shown in the Policy Schedule, unless changed at a later date. During the Insured's lifetime, only the Owner may exercise all the rights as to changes in the Policy. Changes shall take effect on the date Written Notice was signed by the Owner and received at our Administrative Office, unless otherwise specified by the Owner. If the Insured is not the Owner and the Insured survives the Owner, then the Owner's estate will become the Owner unless a contingent Owner has been named.

Control of Policy
During the Insured's lifetime and subject to the terms of any beneficiary designation or assignment, the Owner may:

1. assign or surrender this Policy;
2. obtain a Policy Loan;
3. make a change in this Policy with our consent;
4. transfer the ownership of this Policy; and
5. exercise other rights and receive other benefits as defined in this Policy.

Beneficiary
Unless otherwise provided by notice to us, the beneficiaries are named in the application.

There are different classes of Beneficiaries called primary and contingent. There can be more than one Beneficiary per class. The primary Beneficiaries will be paid equally unless otherwise specified. If there is no primary Beneficiary listed or all primary Beneficiaries predeceased the Insured, proceeds will be paid equally, unless otherwise specified, to the contingent Beneficiaries.

If no primary or contingent Beneficiary outlives the Insured, or if there is no named Beneficiary, the death proceeds will be paid in the following order:

1. The Insured's spouse or Legal Partner, if living; otherwise
2. Equally to the Insured's living lawful children, if any, as of the Insured's date of death, regardless of their age; otherwise
3. To the Insured's estate.

The term "lawful children" includes the Insured's stepchildren, children born to the Insured, and the Insured's legally adopted children (or pending finalization of proposed adoption). Lawful children of the Insured's Legal Partner are considered the Insured's stepchildren.

Change of Beneficiary
During the Insured's lifetime, the Owner may change the Beneficiary designation unless you indicate that the Beneficiary cannot be changed without the Beneficiary's consent (an Irrevocable Beneficiary). No beneficiary change will take effect until a Written Notice is received at our Administrative Office on a form approved by us. Such changes will become effective on the date Written Notice was signed by the Owner, unless otherwise specified by the Owner. All changes will be subject to any payment made by us before notice was received.

Death of Beneficiary
Unless otherwise provided in the beneficiary designation:

1. the interest of any Beneficiary who dies before the Insured will pass to any surviving beneficiaries according to their respective interests; or
2. if no Beneficiary survives the Insured, the proceeds will be paid in one sum to the Owner, if living; otherwise, to the Owner's estate.

GENERAL PROVISIONS

Contract
This Policy, attached riders, amendments, supplemental questionnaires, benefits, reinstatement applications, and the application, as well as any supplemental applications for additional amounts, form the entire contract. Only the President, a Vice President, or the Secretary of Banner Life Insurance Company may change or waive any provision in this contract. Any changes or waivers must be in writing.

We may not change or amend this Policy without the Owner's consent except as expressly provided in the Policy. However, we may change or amend this Policy if such change or amendment is necessary for it to comply with any state or federal law, rule, or regulation.

Statements
Statements in the application are considered representations, not warranties. Statements may be used to contest the validity of this Policy or in defense of a claim only if:

1. the statements are contained in the application, supplemental application, supplemental questionnaire, or in an endorsement or amendment; and
2. a copy of that application, endorsement, supplemental questionnaire or amendment is attached to the Policy at issue or is made a part of the Policy when a change becomes effective.

Incontestability
We will not contest this Policy after it has been in force during the Insured's lifetime for two years from the Issue Date, except for failure to pay premiums or fraud in the procurement of the Policy. However, if this Policy has been reinstated, it will be incontestable, except for nonpayment of premium or fraud, only after it has been in force during the lifetime of the Insured for two years after the effective date of the reinstatement. If the Policy has been reinstated after two years from the Issue Date, only statements in the reinstatement application may be used to contest the Policy. If reinstatement occurs within two years of the Issue Date, we may:

1. contest statements on the original application for two years after the Issue Date; and
2. contest statements on the reinstatement application for two years after the effective date of reinstatement.

Projection of Values
We will provide a projection of illustrative future Death Benefits and Cash Values upon written request. The first projection in any Policy Year will be provided without a service fee. Extra projections will be provided upon request and payment of a $25 service fee.

Assignment of Policy
This Policy may be assigned. We will not be responsible for the validity of an assignment. We will not be liable for any payments made or actions taken before Written Notice of any assignment is received by us. Changes shall take effect on the date Written Notice was signed by the Owner, unless otherwise specified by the Owner. Payments to any assignee will only be made in a lump sum.

Suicide Exclusion
If the Insured, while sane or insane, dies by suicide within two years from the Issue Date, the Effective Date of any Reinstatement, the Death Benefits payable will be limited. In such case, our liability will be limited to a refund of all premiums paid (less any Policy Loan Indebtedness).

Misstatement of Age and Sex
If the Insured’s age or sex has been misstated, we will pay the death benefit that the most recent premium paid would have purchased at the correct age and sex. If the correct age is outside of the issue age ranges, the premium and benefit will be extrapolated.

Non-participating
This Policy is non-participating and the Owner will not share in the Company's profits or surplus. We will pay no dividends on this Policy.

Effective Date of Coverage

For all coverage provided in the original application, the effective date will be the later of:

1. the date the Policy is delivered to and accepted by the Owner; and
2. the date the first Payment Mode premium is paid. In order for coverage to be effective, we require that the Insured be living and insurable, as set forth in the original application, on this date.

Termination

The coverage provided by this Policy will end automatically on the earliest of:

1. The date of the Insured's death;
2. The date we receive your Authorized Request to terminate or surrender your Policy;
3. The date the Grace Period ends without a premium payment and the Policy has no cash value;
4. The date your Indebtedness equals or exceeds the cash value of the Policy;
5. The date the nonforfeiture option ends, if your coverage is in force as extended term insurance; or
6. The Maturity Date.